

Article | 7 July 2026

FX RATES FRANCE

France's Marine Le Pen back in the presidential race as fiscal challenges loom large

Marine Le Pen can now run for president in 2027, setting the stage for a highly uncertain campaign against the backdrop of France's worsening fiscal outlook



RN parliamentary party leader Marine Le Pen leaves the Paris courthouse after hearing of the verdict in her appeal trial

Le Pen can run for president

Marine Le Pen was convicted in March 2025 in a case concerning the misuse of European Parliament assistants by the former Front National. She was sentenced to four years in prison, including two years suspended, fined EUR 100,000, and barred from holding public office for five years with immediate effect. This ruling has now been reviewed on appeal.

The appeal court upheld her conviction today, but modified the sentence. She has been sentenced to three years in prison, including two years suspended, meaning that she will serve one year under electronic monitoring. She has also been banned from holding public office for 45 months, of which 30 months are suspended. As the period of ineligibility began in March 2025, the first 15 months have elapsed. As a result, she is now officially eligible to run in the

2027 presidential election.

On Tuesday evening, she officially announced that she would be the Rassemblement National (RN) candidate in the presidential election and that Jordan Bardella would serve as her Prime Minister if she won. She believes that she will not have to wear an electronic monitoring bracelet because she has decided to appeal to the Court of Cassation, at the risk that the decision might once again prove to be more serious than the one announced today. The Court of Cassation should deliver its ruling at the beginning of 2027. In short, Marine Le Pen has chosen to run for office, but significant uncertainty remains regarding her legal situation, and this is likely to overshadow the campaign.

Where does the campaign stand?

The presidential campaign remains highly uncertain. The number of potential candidates is still very large, reflecting the continued fragmentation of the French political system. French political history shows that opinion polls remain highly volatile nine months before a presidential election. Being the frontrunner at this stage does not guarantee victory.

Three leading candidates currently stand out on the centre-right and right: Édouard Philippe (Horizons), Gabriel Attal (Renaissance, the former party of Emmanuel Macron), and Bruno Retailleau (Les Républicains, representing the traditional conservative right). On the left, Jean-Luc Mélenchon has already announced his candidacy and remains the most visible figure of the radical left. Raphaël Glucksmann is regularly tested in polls as a social-democratic and pro-European candidate. Marine Tondelier (Greens) and Fabien Roussel (French Communist Party) also feature in various electoral scenarios.

What do the polls say?

The most striking feature of recent polling is the RN's lead. The RN's candidate is generally credited with around 35% of voting intentions, well ahead of centrist candidates (typically between 15% and 20%) and left-wing candidates (around 10% to 15% for both Mélenchon and Glucksmann).

Based on current polling, the RN would therefore dominate the first round of the election. However, without knowing whether some centrist or left-wing candidates will eventually withdraw to avoid splitting the vote, it is difficult to identify the RN's likely opponent in the second round. A run-off between the RN candidate and either Édouard Philippe or Gabriel Attal is often discussed, but a unified left rallying behind Raphaël Glucksmann could also lead to an RN-Glucksmann contest.

In the coming months, two issues deserve close attention: the left's ability to unite behind a single candidate and the competition between Édouard Philippe and Gabriel Attal for leadership of the centrist bloc.

Regardless of who wins the presidential election, it is likely that the new president would dissolve the National Assembly shortly afterwards in an attempt to secure a governing majority, as the current fragmentation of parliament severely limits the scope for reforms. If a stable majority were to emerge following both the presidential and legislative elections, visibility on France's economic policy outlook could improve significantly compared with the current situation. But the risk that a stable majority does not emerge is quite large.

What does the RN's programme look like?

Compared with the RN of 2017, the most significant change is its transformation from a Eurosceptic party advocating a break with the European institutional framework into a party seeking to reshape the European Union from within. Proposals to leave the euro area and hold a referendum on EU membership have disappeared from its programme. Nevertheless, the party remains highly critical of European integration and of what it sees as a loss of national sovereignty.

On public finances, the RN regularly criticises European fiscal constraints, the Stability and Growth Pact, excessive deficit procedures, and austerity policies. Its argument is generally that European rules limit the French state's ability to protect the domestic economy. The party also maintains that France's contribution to the EU budget should be reduced.

At the same time, the RN advocates cuts to production taxes and reductions in VAT. Its position on pensions remains unclear. Marine Le Pen initially defended a retirement age of 62 and even 60 for those with long careers, while Jordan Bardella has recently suggested abandoning the focus on the statutory retirement age and instead considering only the number of years of contributions. At this stage, the RN's discourse is much more detailed regarding spending reallocations than regarding an explicit strategy for stabilising public debt over the long term. It is also considerably less committed to a rapid deficit reduction path than centre-right or traditional conservative parties.

Overall, given the precedent set by Giorgia Meloni's government in Italy and the RN's efforts to appear more business-friendly by dropping references to "Frexit", a potential RN victory is viewed by financial markets as less disruptive than in previous presidential elections. However, the party's programme remains highly vague at this stage, and market perceptions could change as policy proposals become more concrete.

That said, even in the event of an RN victory in the presidential election, it appears unlikely that the party would simultaneously secure an outright majority in the National Assembly. The need to form a coalition government could therefore moderate some of the most controversial elements of its programme.

Public finance challenges will weigh heavily on the campaign

The coming months are likely to be dominated by budgetary discussions, which are expected to be particularly difficult. This morning, the government revised down its 2026 GDP growth forecast to 0.7%, significantly below the 1.0% assumption used when the budget was drafted at the beginning of the year.

As a result, the government's objective of reducing the fiscal deficit to 5% of GDP this year from 5.1% in 2025 has become even more challenging. Expenditure is running higher than expected due to rising interest payments on public debt and continued support measures related to the energy shock, while revenue is underperforming because of weaker economic growth. A EUR 6 billion spending cut for this year is currently being discussed, although no concrete measures have yet been identified.

The 2027 budget is likely to be even more complicated given the presidential election campaign. With no parliamentary majority currently in place, the prospects for agreement across political groups on a restrictive budget during an election campaign appear limited. Last May, the European Commission estimated that, under a no-policy-change scenario, France's fiscal deficit would reach 5.7% of GDP in 2027, pushing public debt to 120.2% of GDP, compared with around 100% at the beginning of 2020.

Charlotte de Montpellier

Rates: Bond markets want to see fiscal improvements, regardless of who brings them

Bond markets have shown a muted reaction to the headlines surrounding Le Pen. One reason is that the RN has an alternative candidate in Jordan Bardella, who currently polls slightly ahead of her. Another is that markets remain primarily focused on France's fiscal trajectory.

Current economic headwinds make it more difficult to bring down the deficit, and political uncertainty also muddies the trajectory for coming years. Spreads of 10y French government bonds over their German peers have already widened back towards the 80bp mark in the past week, although the level overstates the widening somewhat given a maturity mismatch between the current benchmark bonds. Looking at an interpolated 10y spread, we are more or less at the average spread going back to when snap elections were called in June 2024, setting off the more volatile environment for French bonds. As such, we still think that markets are lacking the clarity and confidence for material relief in spreads.

Benjamin Schroeder

FX: EUR/CHF the clearest barometer of renewed political risk

The FX market is not currently looking at the French political and budget story. This follows a recurring script of recent years, where France-specific risk emerges as a key driver for the euro only once the bond market shows real signs of stress. For now, FX investors simply aren't concerned about the recent widening in French spreads.

In the run-up to the April election, we expect elevated scrutiny of RN's fiscal plans. Any headlines suggesting a looser approach to fiscal consolidation could spill over into the euro: we would expect that to become primarily visible in EUR/CHF weakness, as the franc is historically the quintessential hedge to EU risk.

For the moment, our baseline assumption is that – barring a surge in support for Mélenchon – any negative euro impact in coming months will likely prove short-lived as the RN and other parties closer to the centre will be careful not to cause serious OAT volatility during the campaign.

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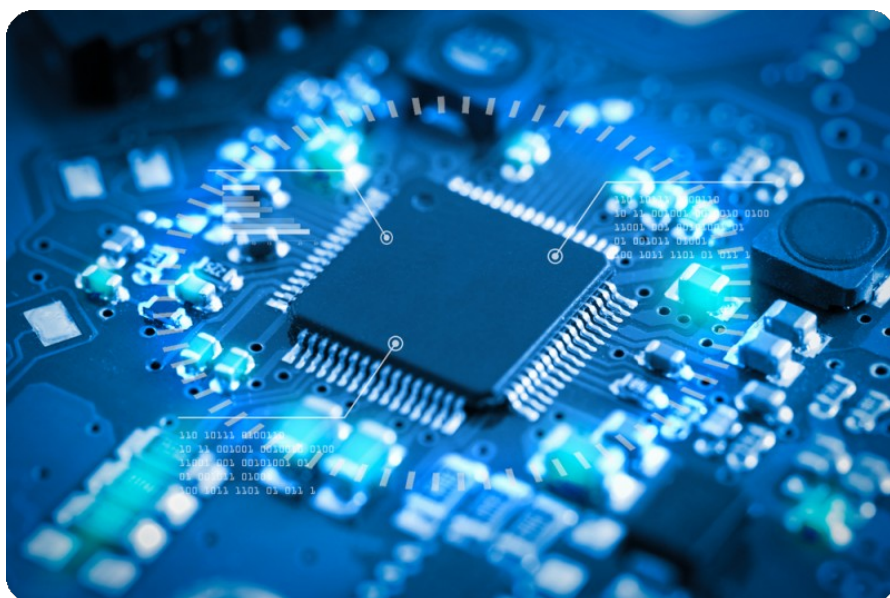
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TMT UNITED STATES

Why tech investors are reevaluating AI investments

AI investment remains a positive long-term story for Big Tech, but investors may see slower EPS growth and lower valuation multiples as infrastructure spending increases depreciation costs and reduces share buybacks. We examine the valuation implications for the largest tech firms, and how risks differ for companies from OpenAI to Anthropic



Strong AI demand is clear, but the future returns on today's spending remain uncertain

Future earnings uncertainty may drive equity volatility

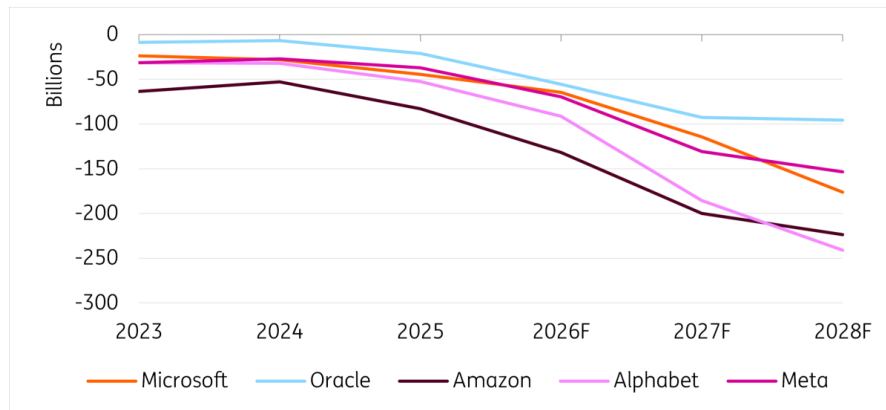
We see a positive future for large technology providers, as the adoption of AI-based services continues to increase. Expected revenues are set to climb, as is EBITDA, [as noted here](#). Yet investors remain nervous. Technology stocks have recently shown large intraday declines. During the first half of 2026, Microsoft's share price declined by 20%, while Oracle fell by 27%. Alphabet, on the other hand, rose by 14%.

In this note, we discuss the factors behind this share price volatility. Although we think the overall technology market can sustain heavy investment in new AI data centre infrastructure, earnings per share growth is likely to slow, influencing equity valuations. Broadly speaking, most credit profiles continue to look fine. Nevertheless, some companies such as OpenAI,

Anthropic and Oracle are investing at a pace that exceeds incoming cash flows.

Current investments are up (US\$)

More negative values indicate higher investment spending



Source: Refinitiv, ING

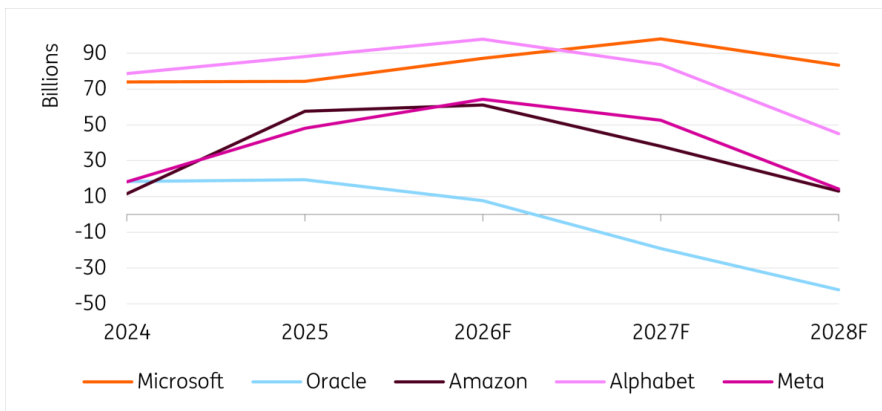
(Fiscal reporting year; Oracle has reported results for 2026)

Not a problem: Investing in building the infrastructure of the future

Despite some occasional doom-mongering by regulators such as the Bank for International Settlements, we think current investments in AI infrastructure are made based on sound economic rationale. For example, Microsoft invested US\$65bn in Cloud and AI infrastructure in F2025, and the company reports annualised run-rate revenues from AI-based services of US\$37bn. This shows there's demand for its investments. Also, technology companies have stated that they cannot deploy AI capacity fast enough to meet customer demand. It means demand for AI computing exceeds supply.

Importantly, most companies can fund these investments through operating cash flow. As a result, industry leaders have little need to take on additional debt, and their balance sheets generally remain strong. The ability to cover investments from existing cash flow can be seen in the chart above (where EBITDA is used as a proxy for operating cash flows). As widely documented, Oracle is a bit of an outlier, with a more aggressive investment programme. This will be discussed below.

EBITDA - Capex (US\$)



Source: Refinitiv, ING

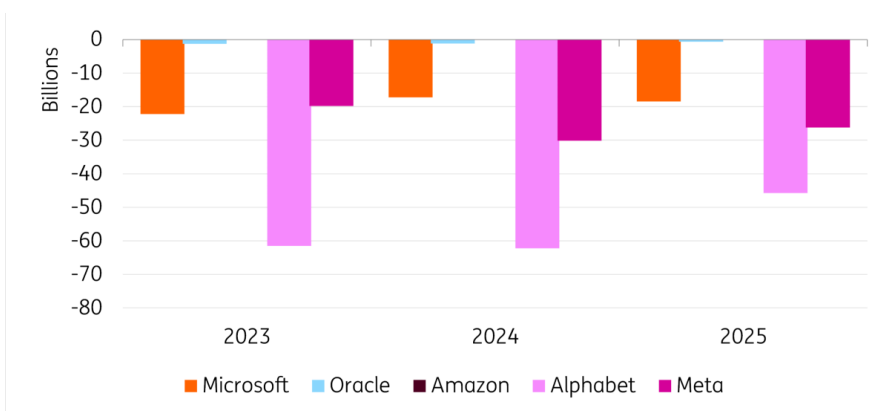
(Fiscal reporting year; Oracle has reported results for 2026)

Investors may wonder when share buybacks will return

As investment spending rises, though, free cash flow (EBITDA less capex) is likely to be lower than in the past, as the benefits to revenue growth may take time to materialise. This reduces the scope for large shareholder returns in the form of share buybacks. As can be seen from the chart below, share buybacks have been material for Microsoft, Alphabet and Meta.

Alphabet has reduced its share count by 9.5% through buybacks from YE20 to YE25. This provided a positive tailwind for its earnings per share (EPS) metric; profits are now divided by fewer shares. Growth in this metric is important when evaluating equity valuations based on EPS. This is because the multiple can fall over time as EPS grows. Although investments can be funded with cash flows, equity investors may need to evaluate future EPS growth and a company's ability to buy back shares.

Share buybacks - historical data (US\$)



Source: Refinitiv, ING

(Fiscal reporting year; Oracle has reported results for 2026)

What to watch when evaluating equity valuations

On a trailing 12-month basis, the Nasdaq trades on a price-to-earnings ratio of around 35x. This is above the 24x level seen at the end of 2022 but below the 40x peak reached in 2021 and 2024. Given expectations for strong earnings growth, however, forward valuations are arguably more relevant. On a two-year forward basis, the Nasdaq trades at around 20x earnings, close to the lower end of its historical range.

Without the support of share buybacks, investors may be less willing to pay 40x earnings multiples in future. The trajectory of EPS growth will depend not only on the revenues generated by AI investments, but also on whether rising costs, including depreciation charges, offset some of those gains.

What if depreciation catches up with capex?

As the first chart shows, investment levels are higher than a few years ago. This matters because these investments must ultimately be depreciated. If revenues from AI-based services take time to materialise, rising depreciation charges could put pressure on operating margins. This risk is particularly relevant for AI infrastructure. Server hardware typically has a shorter replacement cycle than traditional data-centre assets, resulting in higher depreciation rates.

Case in point: Alphabet. Based on consensus estimates, its FY26 capex-to-sales ratio is expected to reach around 44%, while depreciation is projected to be 14% of sales. If depreciation charges rise over time to reflect this higher level of investment, profit margins could come under pressure, creating a headwind for earnings per share. For Microsoft, the equivalent figures are 35% and 14%, while Amazon is expected to post ratios of 24% and 13%, respectively.

During periods of heavy investment, capex typically exceeds depreciation. The AI sector is currently in such a phase. The key questions for investors are whether these investments generate returns above the cost of capital and whether the anticipated revenue growth ultimately materialises.

Company specific sources of uncertainty

As discussed above, we believe most of the uncertainty, and therefore much of the volatility, stems from questions around project returns and fair valuations. However, investors must also contend with several company-specific risks associated with the current AI investment boom. This is particularly the case with Oracle, Nvidia, OpenAI and Anthropic.

How should we look at Oracle's investment objectives?

Oracle has announced ambitious plans to support Project Stargate, a large-scale US AI infrastructure programme. However, its internal cash generation is lower than that of

Microsoft and Alphabet. As a result, Oracle's projected EBITDA less capex is expected to turn negative (based on Refinitiv's consensus forecast), despite the company already operating with relatively low investment-grade credit ratings. While Oracle's balance sheet remains sound, its access to funding is more constrained than larger peers. To preserve its investment-grade rating, the company may ultimately need to raise additional equity capital. So, volatility in Oracle's share price is driven by factors different from those affecting most large technology companies.

Can Nvidia maintain its profit margins?

Nvidia's operating margin could exceed 60% in FY26, according to consensus estimates. This makes sense, as it designs state-of-the-art semiconductors that are in high demand. However, major customers such as Microsoft, Alphabet and Amazon are developing their own custom chips to help manage AI infrastructure costs (capex efficiency). As these capabilities are expanded, Nvidia's pricing power may face greater competition than it has in recent years. This could make today's exceptionally high margins harder to sustain over the long term, even as the company expands into new business lines.

How to view companies developing Gen AI models

Companies such as OpenAI and Anthropic are developing state-of-the-art models for generative AI. They're investing huge sums to become leaders in the field and to develop models specific to customer workflows. OpenAI appears willing to tolerate significant cash burn to establish a dominant position, much as Netflix did in streaming and Amazon did in e-commerce and cloud computing. Yet the long-term economics of AI remain less proven than those earlier industries at similar stages of their development.

AI's long-term value remains uncertain

When evaluating the developments in the market, we don't see evidence of unsustainable investment. How, then, should we explain the volatility in share prices and the steady stream of news articles highlighting concerned investors and regulators? In our view, the market is undergoing a process of price discovery, assessing how to value the future returns from AI-related investments. Key sources of uncertainty include the revenue contribution of AI infrastructure spending, the associated profit margins, and the possibility of slower EPS growth.

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COMMODITIES DAILY

The Commodities Feed: US-Iran ceasefire breakdown pushes oil higher

Fresh US strikes on Iran pushed oil higher this morning, with the latest escalation undermining confidence in the fragile ceasefire. Russia's ban on the export of diesel until the end of July adds to supply concerns



Energy – Russia bans diesel exports

The oil market has continued to rally as the ceasefire between the US and Iran appears to be on life support. ICE Brent settled 5.2% higher yesterday at a little over \$78/bbl, with further upside expected today following additional US strikes against Iran in response to its earlier attacks on several vessels navigating the Strait of Hormuz. President Trump said he considers the ceasefire with Iran to be over, while also threatening to reimpose a blockade on Iranian ports. This would be more impactful for oil markets than the recent revocation of a sanction waiver on Iranian oil. Iran has vowed to respond to these recent strikes, with reports that US military bases in the region will be targeted. Key for the oil outlook is whether the US and Iran are able to quickly de-escalate this latest rise in tensions.

The past few days' price action makes one thing clear: markets were far too relaxed about the risks surrounding the deal — and far too bullish on how quickly regional supply could rebound. Vessel tracking data shows that Strait of Hormuz tanker crossings declined to just 7 yesterday, the lowest level since 21 June. This compares to a daily average of 18 over the first

seven days of July. This data will not pick up tankers navigating the strait with their transponders turned off. The market will be watching whether these crossings rebound in the coming days — or whether rising tensions keep shipowners wary of navigating this critical energy choke point.

Adding to supply concerns in the oil market, and specifically in middle distillates, Russia announced a ban on the export of diesel until the end of July. This comes amid fuel shortages in the country following continued Ukrainian drone attacks on Russian refinery infrastructure. There has been plenty of noise in recent weeks that Russia was considering a ban, so this shouldn't come as too much of a surprise. However, the front-month ICE gasoil contract still surged almost 13% yesterday, while the crack is now trading above \$60/bbl. Russia is the globe's second largest diesel exporter. So, this move is significant for the market, although Russian diesel exports have come under significant pressure already due to the Ukrainian attacks.

The latest EIA data shows that US commercial crude oil inventories increased by 2.99m barrels over the last week. It's the first weekly increase in crude inventories since April. However, when taking into consideration SPR releases, total crude oil inventories fell by 3.17m barrels. There was more tightness in the refined product markets, with gasoline and distillate stocks falling by 1.9m barrels and 4.98m barrels, respectively. Stronger distillate exports helped pull inventories lower — and with Russia's diesel ban in place, demand for US barrels is set to rise even further.

Metals - Gold extends decline on inflation concerns

Gold fell for a third consecutive session, dropping below \$4,050/oz, after renewed US-Iran tensions fuelled concerns over higher energy prices and a potential resurgence in inflation.

While geopolitical uncertainty would typically support safe-haven demand, the market instead focused on the implications for US monetary policy. Rising oil prices could complicate the inflation outlook and reinforce expectations that the Federal Reserve keeps rates higher for longer. Higher yields and a firmer US dollar continued to weigh on the non-yielding metal.

Gold has now fallen more than 20% from its January record high as investors continue to trim exposure following a multi-year rally.

Markets will look to the Fed policy-meeting minutes for further policy clues. A retest of the \$4,000/oz level remains possible if liquidation continues. A sustained break lower would likely require higher real yields, a stronger dollar and further reductions in expectations for Fed easing.

Meanwhile, base metals were mixed amid renewed Middle East tensions. Copper fell more than 1% as weaker risk sentiment and concerns over the macro outlook weighed on growth-sensitive assets. Aluminium rose for a third consecutive session, supported by ongoing supply

concerns and declining inventories, with LME stocks falling to their lowest level since 2022. Looking ahead, copper is likely to remain driven by shifts in risk appetite and Fed expectations, while aluminium should continue to find support from tight physical market conditions.

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FX

Treasury FX report preview: Manipulation thresholds not breached despite USD decline

The summer edition of the US Treasury's FX report (covering 2025) looks unlikely to label any country a currency manipulator, as no trading partner breached all three criteria despite USD depreciation, according to our estimates. Still, the Swiss National Bank may be turning more cautious on intervention to stay within the Treasury's thresholds



We do not expect the summer edition of the US Treasury's FX report to label any country as a currency manipulator

The US Treasury should publish the summer edition of its semi-annual Report on Foreign Exchange Policies of Major Trading Partners (the "FX Report") soon. The report is prepared under two legislations:

- The 1988 law requiring the Treasury to identify foreign exchange manipulators
- The 2015 law introducing three quantitative criteria (chart below) – thresholds have been revised over time – for evaluating trade and FX practices.

FX report criteria thresholds

Criteria	Threshold (4Q rolling)
Significant bilateral trade surplus with the US	>15\$bn goods and services surplus
Material current account surplus	>3% of GDP
Persistent, one-sided intervention	Net FX purchases for at least 8 of 12 months' worth >2% of GDP

Source: US Treasury, ING

No manipulator labels, unchanged monitoring list

The summer edition covers January-December 2025, with the Treasury set to assess the three quantitative criteria, which we attempt to replicate in the table below.

Our baseline assumption is that a country is labelled an FX manipulator if all three criteria are met. As no country appears to have breached all three thresholds, we expect no manipulator designations this summer.

The report also updates the Monitoring List for enhanced scrutiny, including countries meeting two criteria or contributing disproportionately to the US trade deficit. Removal typically requires missing two criteria for two consecutive reports. The January 2026 list included China, Japan, Korea, Taiwan, Thailand, Singapore, Vietnam, Germany, Ireland and Switzerland, and we expect it to remain unchanged.

ING's estimates for the FX report's criteria

	Goods and services surplus with US (\$bn)	Current account balance (% of GDP, trailing 4Q)	Net FX purchases (% of GDP, trailing 4Q)	Net FX purchases (8 of 12 Months)
Mexico	203	-0.6	0.0	No
China*	202	3.7	-0.5	No
Vietnam**	178	6.4	-0.2	No
Taiwan	146	19.4	0.8	No
Ireland	114	8.2	-	-
Germany	73	4.5	-	-
Japan	64	4.9	0.0	No
India	58	-0.5	-1.3	No
Korea	57	6.7	-1.5	No
Canada	55	-1.0	0.0	No
Switzerland	32	6.4	0.6	Yes
Italy	32	1.1	-	-
Malaysia**	31	1.6	1.0	No
Thailand**	22	2.8	0.7	Yes
France	19	-0.3	-	-
Singapore	-4	16.7	3.1	Yes
Australia	-5	-2.7	0.0	No
Brazil	-14	-2.9	-0.2	No
UK	-32	-3.1	0.0	No

Figures in red are above the criteria's thresholds. Estimates are based on disclosed interventions when available or through the valuation-adjusted change in FX reserves, attempting to replicate the US Treasury's methodology.

*China's FX interventions estimated via monthly changes in the PBOC's foreign exchange assets ** Malaysia, Thailand and Vietnam convey intervention numbers privately to the Treasury, making it harder to estimate via FX reserves, we present ballpark estimates here. Source: ING estimates, Macrobond, IMF, Central bank disclosures

Context matters

The fundamental aim of the FX Report is to flag practices that artificially prevent appreciation of trading partners' domestic currencies, potentially granting a competitive trade advantage. This edition is notable as it cleanly captures 2025, a period of sharp USD depreciation, unlike the previous report, which mixed in late-2024 dollar strength.

A number of central banks stepped in with FX intervention to fight home currency appreciation in the Spring/Summer of 2025. This resulted in a slew of bilateral statements between the Treasury and other monetary authorities (Japan, Switzerland, Korea, Malaysia, Thailand, Taiwan), [which we discussed them in our previous edition's preview](#).

These agreements suggest, in our view, that the Treasury is not looking to designate manipulators at this stage. The dollar's rebound in 1H26 supports this, as intervention metrics should mechanically fall in the next report.

Switzerland keeping an eye on its metrics

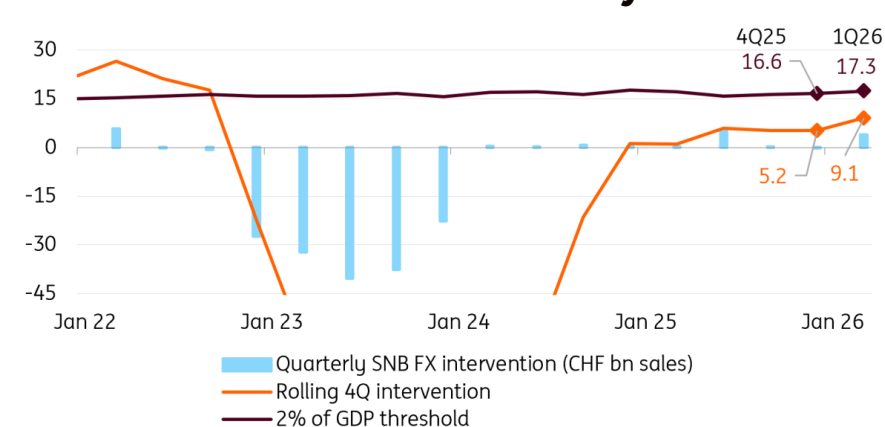
Taiwan, Switzerland and Thailand meet the trade surplus and current account criteria and, in our estimates, posted positive FX intervention in 2025, but remained below the 2% of GDP

threshold. Switzerland stands out, as CHF appreciation pressures re-emerged at the start of 2026.

The Swiss National Bank explicitly uses FX intervention as a policy tool. After heavy FX selling in 2023, it returned to purchases in 2025 to counter CHF strength. This drew scrutiny from the US Treasury, with a September 2025 joint statement clarifying that intervention is legitimate when aimed at curbing excessive volatility or disorderly moves and safeguarding price stability, rather than gaining a trade advantage.

However, it remains unclear whether this shields Switzerland from FX Report scrutiny if intervention exceeds the 2% threshold, leaving some uncertainty for the SNB. Official data show intervention at CHF 5.2bn (0.5% of GDP) in 2025 and CHF 9.1bn (0.8% of GDP) over the four quarters to 1Q26, versus a rolling 4Q threshold just above CHF 17bn.

SNB FX intervention and Treasury's threshold



Source: SNB, ING

All this could make the SNB more cautious on intervention, as markets may assume policymakers want to avoid breaching the threshold and potentially reigniting trade tensions with the US. This might fuel bullish CHF speculative bets if intervention is seen as constrained.

It helps explain why we do not expect significant CHF weakness over the next year. The SNB may only step in aggressively if EUR/CHF trades aggressively sub-0.90.

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Article | 2 July 2026

UNITED STATES

US rate hike talk cools on softer jobs data

US job creation slowed after a decent three-month run while the unemployment rate fell, but this was primarily due to worker disengagement with more than 700,000 leaving the labour force. A disappointing outcome that has taken the wind out the sails for calls for imminent rate hikes. A soft July CPI report should boost the case for a prolonged Fed pause



US job growth was weak in June

57,000

US jobs added in June

Lower than expected

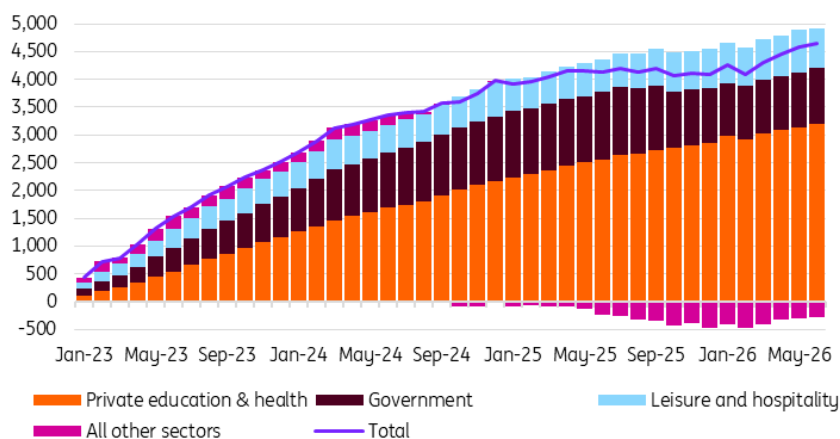
Weak jobs growth, unemployment rate falls for bad reasons

The June US jobs report led with a softer-than-expected non-farm payroll growth number of 57,000 (consensus 113k) with 74,000 downward revisions to the past two months. The

unemployment rate dipped to 4.2% from 4.3%, but this was primarily caused by a big drop in the participation rate to 61.5% from 61.8% – ie not a good reason since it highlights worker disengagement. In fact, the details show the number of people employed falling by half a million, while the number of people unemployed fell 213k, meaning more than 700k left the workforce. Worryingly, the bulk of the pain was seen in prime age workers – those aged 25–54 – where the participation rate fell from 83.9% to 83.3%. Wage growth was in line at 0.3% month-on-month or 3.5% year-on-year.

In terms of non-farm payrolls, the private sector was particularly subdued, rising only 49k, with private education/healthcare services yet again the only source of strength, rising 69k. This sector has cumulatively accounted for 70% of all the jobs created in the United States since December 2022 – a remarkable degree of job concentration. Leisure and hospitality has been another key sector for job creation in recent years, but not in June. Employment fell 61k, which is a major surprise given the World Cup is on and bars and the venues themselves are busy. Employment in this sector had increased by 44,000 in May, so it may be that business owners had thought there might be even more excitement about what was going on and have been left disappointed.

Cumulative job creation since December 2022 (000s)



Source: Macrobond, ING

Inflation is the Fed's focus, but better news is coming here

Non-farm payroll growth averaged just 8,571 per month between January 2025 and February 2026, but there was a decent uptick over the March-May period when payrolls increased 164k on average. Today's number suggests that this was not necessarily the start of a new trend and takes some out of the wind of the sails for the call for imminent rate hikes. However, Federal Reserve Chair Kevin Warsh has made it clear that inflation is the Fed's focus right now, so market reaction is somewhat muted, with cumulative hikes by December now amounting to 31bp versus 37bp just before the data was published. The 14 July consumer price inflation data should show MoM prices falling due to the steep drop in gasoline prices and that will likely

have more of an impact on investor psychology. We continue to favour a prolonged pause from the Federal Reserve rather than expect a 2026 rate hike.

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Article | 9 July 2026

RATES SPARK

Rates Spark: A higher real starting point

Oil has pushed rates markets to price in tighter monetary policies again. More hawkish central bank stances and already higher real rate levels as a starting point leave nominal yields vulnerable to new highs if things escalate further



Oil has pushed rates markets higher

Back to square one? Ceasefire breakdown also pushes rates higher

Oil is in the driver's seat again, and markets have been quick to reprice for tighter monetary policy. The 2Y EUR inflation swap jumped almost 20bp higher, while markets are once again pricing in close to a full European Central Bank rate hike by September. This aligns with early reactions from ECB officials following the renewed escalation. Bundesbank President Joachim Nagel said he would not rule out another rate hike given we are “back where we started”. Meanwhile, the bearish tone in longer-dated rates that had already been building ahead of the week gathered further momentum, pushing the 10-year Bund yield to around 3.1% by the close.

Risk sentiment also took a hit, which in eurozone government bond markets manifested itself in a widening of spreads over Bunds. Italian spreads had proven particularly sensitive to oil prices during this crisis and widened some 3.5bp in the 10y on the latest spike in energy prices.

France, though, underperformed slightly this time, facing the additional layer of uncertainty surrounding its domestic politics and fiscal trajectory.

There is one difference now compared to when the Iran crisis initially hit bond markets. Real rates are now a lot more elevated than a few months ago. Markets seemed to have taken a more upbeat view on global growth, especially in the US.

This more upbeat take on the economy and the labour market was also reflected in the more hawkish stance of the Fed, which was just confirmed by the minutes of the June meeting. While voting unanimously to keep rates on hold, that meeting saw nine Fed officials pencilling in higher rates by the end of this year. Most officials agreed that “some policy firming would likely be warranted” in a scenario in which inflation remained elevated due to strong AI-driven demand, high energy prices and tariffs. This is not our base case for inflation, where we see more room for moderation.

But with the Fed on a more hawkish footing and real rates starting out higher, it means nominal rates can potentially test new highs if the inflation expectations component starts to rise again more noticeably. At the end of last month, 10y inflation swaps had seen their lowest levels since spring 2025 but are now already some 7bp off these lows. At one point on Wednesday, the nominal 10y UST yield was just 10bp shy of the 4.7% we hit when oil was trading well above \$100 per barrel.

Thursday's events and market view

The US releases the weekly initial jobless claims and existing home sales for June. Markets will also hear from the Fed's Williams and Logan. The highlight in Europe is the minutes of the June ECB meeting.

In primary markets, Ireland sells 10y and 19y bonds for a total of €1.25bn. The US sells \$22bn in 30y bonds.

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Article | 9 July 2026

FX

FX Daily: Muted reaction to re-escalation in the Gulf

The more serious exchange of fire in the Gulf and the jump in oil yesterday have seen far less of a reaction in FX than in the rates space. However, Brent closer to \$80/bl than \$70/bl stands to delay any disinflation trends and increase the risk of a Fed hike. Expect the dollar to remain bid versus the low-yielders, while the Korean won might outperform



US President Trump during a press conference at the 2026 NATO Summit in Turkey on 08 July 2026

📈 USD: Higher energy prices will fuel the Fed hawks

Dominating global markets yesterday was the seeming breakdown in negotiations between the US and Iran and a more serious exchange of fire. That has extended overnight, with the US military striking infrastructure targets in northern Iraq – the first strike on infrastructure since early April. Brent briefly touched \$80/bl and we saw some large moves at the short end of interest curves. This follows the playbook from early March. The FX reaction was more muted, where the dollar was a little stronger, but the biggest impact was a jump in volatility and the unwinding of carry trade positions in the EM high-yielders. This especially hit extended positions in the Hungarian forint – see below.

In addition, last night saw the release of the [FOMC minutes](#) for the June meeting. Some had feared that Fed Chair Kevin Warsh's new non-communications strategy would gut these minutes. That was not the case. Our key takeaway is that those at the meeting were presented with two scenarios – a delayed cut in rates should inflation dissipate, or a more immediate hike if inflation remains high. Both of those scenarios were seen as equally credible. The dollar and US rates did not move much on the minutes, and it will probably be next week when we get a better steer on the Fed. Here, we have the June CPI figure next Tuesday and Kevin Warsh's testimony to the House on Wednesday. Today at 15CET we will also hear from the New York Fed's John Williams. He's from the dovish end of the spectrum.

Our bias is that higher energy prices will provide fuel for the Fed hawks and keep the dollar supported on dips – particularly against the low yielders. High-yielding currencies can enjoy better insulation against the stronger dollar given the summer months and investors' tendency to jump into carry trade positions on any sell-off. DXY is trading around 101.00 and we favour it back to the 101.50 area.

Chris Turner

📌 EUR: Greenland seems a distraction

EUR/USD has held up remarkably well given the jump in oil prices yesterday. Yield spreads did narrow in favour of the euro, where euro swap rates rose around 7-8bp more than short-dated US rates on the view that the ECB is more likely to pull the trigger on another hike in September. However, we think the Fed story will be a more dominant theme and can easily see EUR/USD handing back early gains today and sending the euro back below the 1.14 level.

Could some of the EUR/USD resilience be down to President Trump mentioning Greenland again at the NATO conference? Remember that his threats back in January sparked a backlash against US asset markets from European investors. This link looks tenuous at best.

On the eurozone calendar today is the release of the ECB minutes for the 11 June meeting. We assume this will be pitched as hawkish and, combined with higher energy prices, keep expectations alive for a follow-up hike at the September meeting. That is currently priced at +22bp by money markets.

Elsewhere, sterling continues to do well. This repeats the performance at the start of the Gulf crisis in early March. Here, the front-end of the sterling money market curve adjusts more than in the eurozone and EUR/GBP goes offered. And the Swiss franc underperforms in a higher rate environment on the view that the Swiss National Bank will be the last of the G10 central banks to hike. This is helping to turn the GBP/CHF long-term bear trend and 1.10 could be the next stop here if energy prices stay high.

Chris Turner

↓ **CEE: Forint long position is being tested**

The meeting of the National Bank of Poland did not bring many surprises. The statement is broadly neutral and almost unchanged from June. The MPC acknowledges lower oil prices, weaker growth in Poland's key trading partners, and a recent decline in inflation. At the same time, it stresses that uncertainty is still elevated, particularly due to tensions in the Middle East. The new CPI projection came in above our expectations, including for 2027. That said, the NBP may be assuming higher oil prices than current market levels. The focus will be on President Adam Glapinski's press conference today. However, the global picture is again clouding the outlook and the best expectation for now is no change in NBP rates for a longer period of time.

Yesterday, the CEE region was hit hard by US-Iran headlines, and we saw a sell-off across rates and FX. In the Czech Republic, the market added half a rate hike to pricing for a total of one and a half hikes now. In Poland, expectations have returned from a 50% probability of a rate cut to stable rates for a longer period.

In the FX space, we saw the biggest move in EUR/HUF with a 1.2% move up, the biggest upside move since early March at the start of the conflict. Of course, the forint is extremely vulnerable due to the massive long positioning built up after the general election in April, and at the same time, the central bank indicated a series of rate cuts at the June meeting, being the only outlier in the region. We believe that levels around 360 EUR/HUF will be attractive for the market for new forint longs if the geopolitical situation proves to be temporary and we see a return below 356 again.

Frantisek Taborsky

↑ **KRW: Some reprieve for the won**

USD/KRW remains the most volatile Asian FX pair and trades on one-week volatility near 13% – way above anything seen in the G10 space. That volatility stems from the heavy concentration of the tech sector in Korea's Kospi benchmark equity index. That tech sector might actually help the won in the short term. One of Korea's largest chipmakers, SK Hynix, has just closed an American Depositary Receipt (ADR) listing to raise around \$25bn. Some of those funds are expected to find their way back into the won after the ADR's settlement on 16 July.

At the same time, the Bank of Korea has turned hawkish after upgrading its growth and inflation forecasts in May. A 25bp rate hike to 2.75% is widely expected at next week's meeting. While it is hard to call USD/KRW lower, given the current rise in energy prices, we think there might be a short-term window for further gains in KRW/JPY. This has already done well over the last four sessions and could have a window to the 11.00 area, before the possible arrival of more Japanese FX intervention in USD/JPY next Thursday/Friday – ahead of Japan's Marine Day holiday on 20 July.

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Article | 30 June 2026

AUSTRALIA INDIA

Asia's consumer recovery: winners and laggards

Consumption in Asia is recovering on easing inflation, rising asset prices, and stronger incomes, but unevenly. Structural gaps in savings, wealth mix, and income drivers are widening the divide between outperformers (Japan, Australia, Singapore, India) and slowing ASEAN economies

Vector Globe EPS10



Source: Shutterstock

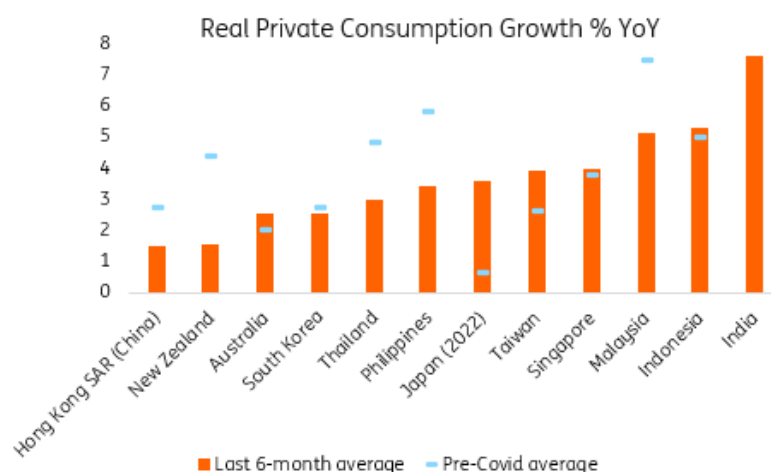
Asia consumption recovery: gradual but uneven

Private consumption across Asia remained subdued in 2025, reflecting soft real income growth, cautious household sentiment, and the lagged effects of earlier monetary tightening. Recent declines in oil prices are a welcome relief, easing pressure on household purchasing power and supporting sentiment. At the same time, strong equity market gains - most notably

in Japan and South Korea - have lifted household wealth, providing a partial offset to income pressures.

Against this backdrop, Asia's consumer is showing signs of recovery. But it remains uneven rather than broad-based, with increasing differentiation across the region. Economies such as Japan, Australia, Singapore, and India are benefiting from structurally stronger consumption trends, with activity largely back to pre-pandemic levels. Cyclical momentum is also [improving in Korea](#) and Taiwan, supported by AI-driven growth, strengthening real income dynamics, and more accommodative policy settings. By contrast, consumption recoveries in the Philippines, Thailand, Indonesia, and Malaysia continue to lag. We explore some of the divergence in consumption trajectories across Asian economies.

Japan, Australia, Singapore, seeing structurally stronger consumption trends



Source: CEIC

Savings buffers: uneven trends across the region

Households entered the post-Covid period with elevated savings, but the extent to which these buffers still exist is increasingly divergent. Consumption in economies with limited buffers is likely to be more volatile and sensitive to near-term shocks, particularly changes in energy prices.

- In North Asia (Japan, Korea, Taiwan), excess savings accumulated during the pandemic have largely been drawn down, with consumption normalisation and higher living costs eroding buffers.
- In parts of ASEAN, particularly lower-income economies such as the Philippines and Indonesia, precautionary savings remain thin. This leaves consumption more sensitive to

income shocks and inflation.

- By contrast, Singapore stands out with still-healthy household balance sheets, supported by stronger income growth and asset price gains.

Japan: Wage-led recovery, wealth effects to build gradually

While Japan's consumption growth has softened recently, the underlying structural backdrop is turning more supportive. This is driven primarily by a shift toward higher wages reflecting tighter labour market conditions and improved corporate profitability. It marks an important break from Japan's deflationary past and provides the foundation for a more durable, income-driven recovery in consumption. Real income growth has finally turned positive. We expect the tight labour market to continue to support positive real income growth.

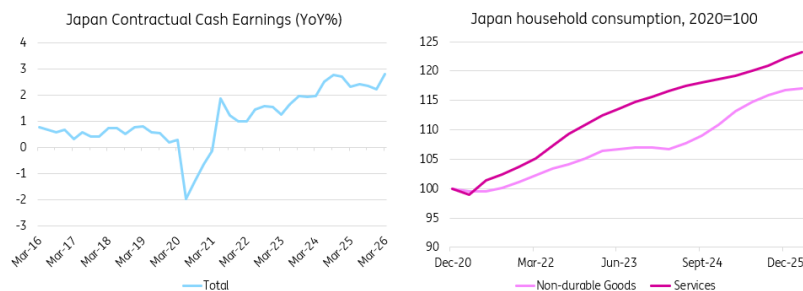
Strong service consumption suggests households are more willing to spend today than to save. Decisions are less anchored to expectations of falling prices. This is a critical sign that deflation is easing structurally, not just temporarily. Services are labour-intensive, so rising consumption here often reflects higher wages, and stronger employment conditions

At the same time, the economy is undergoing a gradual yet important shift away from its long-standing cash-heavy, deflation-era household behaviour towards more market-linked and risk-taking behaviour. Over the past three years, households have steadily reallocated assets toward equities and investment funds, supported by strong market performance, policy incentives such as the expansion of Nippon Individual Savings Accounts (NISA), and a changing inflation backdrop. While cash and deposits still account for roughly half of total household assets, the share of equities and mutual funds has risen meaningfully to around 22% in 2025 from 15% in 2022.

Despite these supportive factors, the transmission to consumption remains limited. Japan is only in the early stages of its transition toward equity ownership, and participation starts from a low base. So, recent wealth gains have been concentrated among higher-income households—primarily the top 10–20% who already have greater exposure to risk assets.

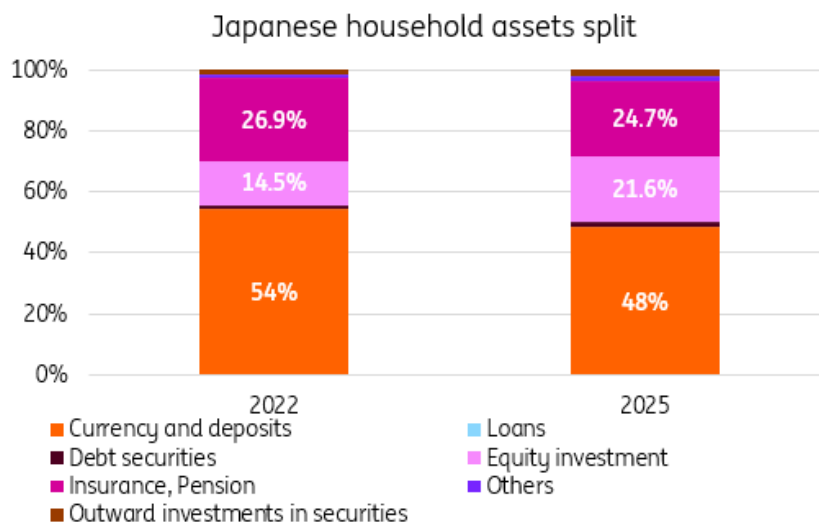
The structural shift toward higher wages and higher equity ownership should gradually support a recovery in consumption. However, the pace is likely to remain moderate, constrained by ageing households, which limit the transmission of wealth to spending.

Japan is seeing a shift towards higher wages



Source: CEIC

Japan is undergoing an important shift away from cash



Source: CEIC

Australia: housing wealth supports consumption

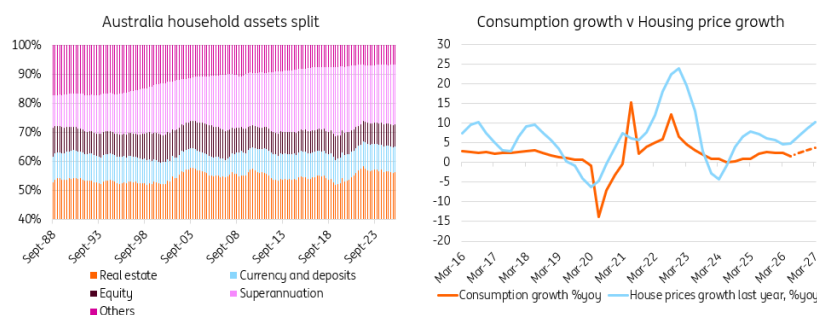
Australia presents a clear contrast to Japan in that household wealth is heavily concentrated in real estate rather than financial assets. Around 55% of household wealth is tied to housing, a composition that has remained broadly stable over the past few decades.

House prices have increased sharply - by more than 50% - since the COVID period, driven by a combination of strong demand and constrained supply. Population growth has been a key factor. Immigration is running well above pre-pandemic levels, while housing supply has struggled to keep pace due to weak building approvals and persistent structural bottlenecks. Even in the face of higher interest rates, house prices have remained resilient and continued to trend upward.

This has supported household balance sheets and consumption via housing wealth effects, though gains are uneven-non-homeowners face worsening affordability and rising rents. A still-tight labour market has underpinned income growth.

Looking ahead, our estimates suggest that real consumption growth in Australia is significantly more sensitive to house price movements than to wage growth. As such, consumption should accelerate in the second half of the year, supported by the lagged effects of strong house price appreciation through the first quarter of 2026. In addition, persistently tight housing supply is likely to limit downside risks to house prices. This is helping sustain household wealth and reduce the risk of a sharp pullback in consumption.

Australia - house price growth supports robust consumption



Source: CEIC

Singapore: durable uplift in consumption

Singapore is seeing a durable uplift in consumption, underpinned by structural tailwinds rather than cyclical factors.

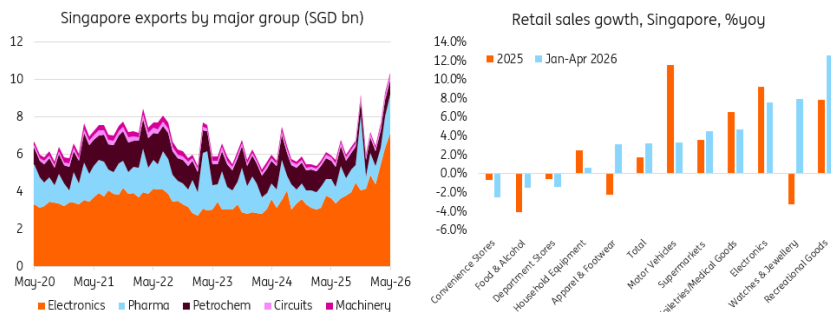
Singapore is benefiting from two reinforcing trends. First, strong and sustained FDI inflows driven by its safe-haven appeal. Its role as a regional logistics and services hub, and relative tariff advantage, are supporting income growth and employment stability. Second, Singapore is emerging as a key beneficiary of the AI investment cycle, given its world-class digital infrastructure, deep talent pool, and openness to innovation. These forces are translating into firm wage growth and strengthening household purchasing power.

Importantly, this is now visible in consumption patterns. Singapore is seeing a clear recovery in discretionary spending in 2026, with robust demand across categories such as leisure, electronics, and luxury goods. At the same time, tourism has rebounded strongly - now around 25% above pre-pandemic levels - providing an additional lift to retail, hospitality, and services consumption.

These dynamics are not only strengthening the external sector but are also spilling over into domestic demand. Labour market conditions remain supportive, with wages rising in

Singapore.

Singapore is benefitting from AI investments



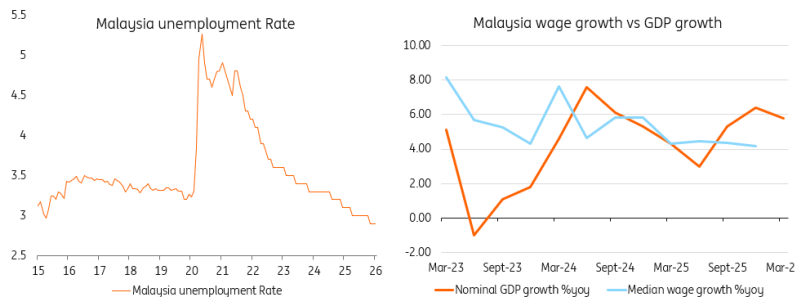
Source: CEIC

Middle of the pack: Malaysia – looking for new drivers

Real consumption growth in Malaysia remains below its pre-Covid pace. First, housing wealth, previously a key driver of private consumption, has played a more muted role in recent years. Second, while the slower pace of post-pandemic debt accumulation eased the incremental drag from new borrowing, elevated debt servicing burdens continue to weigh on consumption. Third, despite high labour force participation and low unemployment, wage growth has been persistently constrained by weak productivity and the concentration of jobs in lower value-added sectors.

Yet there's a growing tailwind. The current wave of AI- and data centre-related investments is enabling a gradual shift toward higher value-added activities. This should support improvements in productivity and income over time. Malaysia is becoming more deeply embedded in the global AI value chain, particularly through its strength in semiconductor assembly and testing. It continues to attract strong FDI inflows. In parallel, the country is emerging as a regional data centre hub, with large-scale infrastructure development, creating new employment opportunities. Together, these structural shifts should help underpin a gradual recovery in consumption.

Malaysia – despite low unemployment, wage growth is constrained by weak productivity



Source: CEIC

The laggards: Indonesia and Philippines

While low household debt is a structural tailwind, consumer spending in these economies remains primarily income-driven rather than credit-driven, making it more vulnerable to income volatility.

Philippines – low productivity growth constraining consumption

Structural constraints in the labour market are capping the upside for income-driven consumption. According to the World Bank, between 2010 and 2025, three out of four new jobs were created in non-tradable sectors, which tend to have lower productivity growth. Export-oriented firms are around 20% more productive than non-exporters, yet the number of such firms has declined over the past decade. Though IT and business services outsourcing (BPO) grew, manufacturing stagnated due to real effective exchange rate appreciation, high energy costs, technology trends, and a challenging regulatory environment. This shift away from higher-productivity, export-oriented sectors toward lower value-added activities poses a structural constraint on income growth and, by extension, on the sustainability of consumption.

Consumption in the Philippines is closely tied to overseas remittances, which are predominantly used for day-to-day household spending rather than savings or investment. This structural reliance makes local demand heavily dependent on external income flows rather than domestic credit conditions.

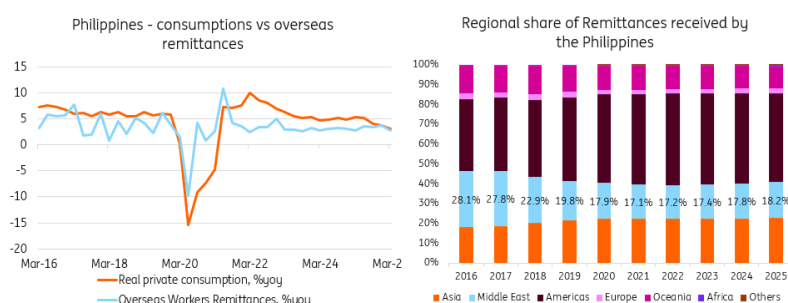
Recent data points to an emerging slowdown: Overseas remittance growth eased to around 2% year-on-year, with inflows falling to an 11-month low of about \$2.7 billion in April 2026. This marks the weakest annual growth in nearly four years.

With the Middle East accounting for roughly 17–18% of total remittance inflows, developments in the region are particularly important. Headline data doesn't yet show a sharp contraction in

remittances from the Middle East, but growth has moderated since February. Month-to-month flows have become more uneven in early 2026, reflecting early-stage disruptions linked to the conflict.

As such, the recent slowdown and rising volatility could exert a more persistent drag on inward remittances as conditions in the Middle East region take time to stabilise. Given the limited offset from alternative income sources, particularly for lower- and middle-income households, any sustained weakening in remittance inflows is likely to weigh on private consumption with a lag. This reinforces downside risks to domestic demand.

Philippines – slowdown in remittances could impact consumption



Source: CEIC

Indonesia – structurally constrained

While headline consumption growth numbers in Indonesia suggest household demand remains relatively stable, high-frequency indicators tell a more nuanced story. Retail sales and consumer confidence have remained persistently soft, suggesting underlying weakness in spending dynamics. This divergence reflects the structural nature of Indonesia's consumption model. Consumption is heavily income-driven rather than credit-driven. Relatively low household leverage is limiting households' ability to smooth spending during periods of weak income growth.

Post-Covid, Indonesia's consumption dynamics remain constrained by weak income growth and limited household buffers. Despite headline GDP growth of around 5%, real wage growth has been modest at roughly 2%. This spotlights a disconnect between macro growth and household income gains. It reflects a structural shift toward lower-productivity sectors, with manufacturing's share of GDP declining to roughly 18.7%, while employment has tilted toward informal and low-value-added services.

Household balance sheets show signs of fragility. While the aggregate gross savings rate remains relatively high at around 35–37% of GDP, it masks significant distributional

differences. Micro-level indicators point to weakening buffers. Average household savings per bank account have been declining, suggesting an erosion of per-capita reserves. At the same time, Bank Indonesia survey data shows that the share of income allocated to savings rose to about 14.9% in December 2025. The share spent on consumption edged down to around 74–75%, indicating rising precautionary behaviour rather than stronger financial positions.

High-frequency indicators reinforce this picture of subdued demand. Retail sales contracted by 3.7% YoY in April, marking the first decline in a year. Consumer confidence, meanwhile, eased to around 120.9 in May from 123 previously. Monthly momentum has been volatile, with retail sales falling 11.6% MoM in April, underscoring weak discretionary spending.

Taken together, these data points suggest that Indonesia's consumption is being constrained not by a lack of aggregate savings but by weak income growth and thin buffers among lower- and middle-income households. The combination of modest real wage gains, declining per-household savings, and rising precautionary saving points to cautious consumer behaviour.

Indonesia: weak near-term outlook



Source: CEIC

Conclusion

In sum, Asia's consumers are recovering, but the rebound is increasingly uneven. Structural factors - not just cyclical conditions - are driving a divergence, with income growth, savings buffers, and wealth composition shaping consumption outcomes. This suggests the region is unlikely to see a synchronised consumption upswing, with laggards continuing to weigh on aggregate demand.

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Article | 29 June 2026

The economic toll of Europe's record-breaking heatwave

Thermometers, it turns out, have become a leading indicator of economic growth



Heatwaves pose a new downside risk to European growth

Deserted streets and parks, closed schools and cancelled public events. The recent heatwave in Europe brought back memories of the pandemic lockdowns. This time, however, it wasn't a virus but record-breaking temperatures driving the disruption. European countries, including France, the UK, Switzerland and Germany, experienced their hottest days on record for June.

In France, record temperatures brought back horrible memories of the summer of 2003 when some 70,000 people, most of them elderly citizens, died from the extreme heat. What once seemed like a rare exception, even to those sceptical of climate change, is now becoming increasingly common. And as global warming intensifies, today's extremes risk becoming tomorrow's norms, with Europe in the midst of it.

Yet despite repeated warnings and growing awareness, heatwaves still bring large parts of the continent to its knees. A bit like heavy snow does in the winter. Several hospitals declared critical incidents due to the extreme heat, with cooling units breaking down and IT systems stalling, while schools, workplaces and railways were thrown into chaos, and wildfires broke out. People have drowned while trying to cool down, and in France, two nuclear reactors were

forced to close due to a lack of cooling water.

While the record high temperatures during the day and overnight are clearly harmful for human health, they will also leave their mark on the European economy.

Gauging the economic impact of heatwaves

For years, heatwaves were treated the way insurers treat hailstorms: a regrettable but temporary cost, smoothed out over the cycle. That framing is becoming outdated. A [2021 study](#) of Europe's worst heat years (2003, 2010, 2015 and 2018) put continent-wide GDP losses from reduced labour productivity alone at 0.3-0.5% (output, not GDP growth), exceeding 1% in the most exposed regions. Other studies add the costs of cooling and consequently calculate an even larger impact on growth. Add rising healthcare costs, emergency infrastructure repairs and the impact of heatwaves and drought on waterways, transportation or agriculture, and the negative impact on the economy grows further still.

Last year, [a joint paper](#) from the University of Mannheim and the ECB also put a number on the economic damage, analysing the heatwaves, droughts and floods of the summer of 2025. According to the paper, the European economy lost some 0.3% of output. This damage could grow to an accumulated 0.8% by 2029, taking into account the effects of lost productivity, supply chain disruption and depressed tourism revenue.

Previously, the ECB had also estimated that heatwaves and drought could push up food inflation by some 0.4-0.9pp, with that effect potentially doubling over the next 30 years.

In the past, it was tempting for northern Europeans to file heat risk under "somebody else's problem": Madrid's not Munich's. However, the data no longer supports this theory. To the contrary, Germany ranks third among Europe's largest economies for cumulative heat losses up to 2030. Not because German summers will rival Seville's, but because infrastructure, housing stock and labour-intensive sectors like construction and logistics were built for a cooler climate and haven't caught up.

A January 2026 [Climate Analytics assessment](#) commissioned for the World Bank concluded, pointedly, that Germany still lacks comprehensive solutions to manage heat-stress risk, with adaptation planning lagging well behind the science. This conclusion is also confirmed when looking at an increasingly important time series from the European Commission's business survey: weather as a limiting factor to production. It actually shows that over the last few summers, Spain and Germany experienced the most disruptive effects of summer heatwaves.

Heatwaves pose a new downside risk to European growth

Looking ahead, while the recent drop in energy prices should bring some relief to European households and companies, the current heatwaves bring a new downside risk for the European economy: potential supply chain frictions due to low water levels in main rivers and affected

infrastructure like railways and highways, but also productivity losses.

In fact, the uncomfortable truth is that heatwaves have quietly graduated from "weather event" to "macro variable". The thermometer, it turns out, has become a leading indicator.

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Article | 26 June 2026

KEY EVENTS

THINK Ahead: US jobs data and the ECB's inflation test

In a holiday-shortened week in the US, Thursday's June jobs report should be a cause for cheer, while falling gasoline prices are also helping ease inflation pressure. In Europe, eurozone inflation data will test ECB rate hike expectations



On 4 July, the US will celebrate the 250th anniversary of the signing of the Declaration of Independence

THINK Ahead in developed markets

United States (James Knightley)

- **Jobs Report** (Thu): America will be celebrating the 250th anniversary of the signing of the Declaration of Independence next Saturday, resulting in a holiday-shortened week. Thursday's June jobs report should also be a cause for cheer, with the fourth consecutive 100k+ reading for non-farm payrolls having averaged merely 8,500 per month between January 2025 and February 2026. While a print of around 110k will not be especially stellar, it will be enough to keep the market pricing Federal Reserve interest rate hikes. The ongoing fall in energy prices is another cause for celebration, with gasoline prices set to break below \$3.50 per gallon imminently. This will leave more money in consumers' pockets while also prompting sharply lower inflation readings over the next few months. Manufacturing surveys also suggest a decent ISM report, which, all

in all, means we expect a week that should be supportive for risk appetite.

Eurozone (Bert Colijn)

- **June Economic Sentiment Indicator** (Mon): After a sluggish PMI, the question is whether the second big survey on the eurozone economy shows more improvement. The Middle East deal will not have been fully incorporated yet, but with oil prices already moderating before the deal was struck, sentiment should see some improvement. Consumer confidence, part of the indicator, has already been released and indeed ticked up. Not only sentiment about output, but also inflation sentiment is very relevant. If fewer companies intend to price through higher costs, this will be a clear dovish sign for the ECB.
- **Inflation** (Wed): The key indicator for next week will be inflation for June from a eurozone perspective. Some positive notes on inflation recently, as businesses seem more wary about increasing prices and, most importantly, prices at the pump have come down in recent weeks, which brings the annual increase down compared to May. Markets have been adjusting ECB rate hike expectations down and the June number will be a clear mark for how concerning the inflation situation is now that the deal will bring additional relief.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **June Flash CPI** (Tue): We project a further decline in headline inflation amid a visible decline in fuel prices vs. the previous month, even though the excise duty on gasoline and diesel was restored to its regular levels from the beginning of the year. Food price inflation remains benign, and core inflation was likely broadly unchanged compared to May. All in all, the National Bank of Poland is unlikely to signal any deviation from its wait-and-see policy stance in early July, and the new inflation projection should show that inflation might be heading towards the target, potentially as early as 2Q27, meaning there is no need to hike rates. At the same time, the return to cuts is unlikely any time soon, given the uncertainty regarding the impact of the recent Middle East conflict on prospects for the global economy.

Czech Republic (David Havrlant)

- **June Manufacturing PMI** (Wed): The Statistical Office will likely confirm the 1Q GDP take, though we see some scope for upward revision of the soft quarterly growth. Industrial PMI is expected to have marginally deteriorated in June, while it remained safely in expansionary territory, proving a welcome resilience of Czech manufacturing to the Middle Eastern disturbance.

Turkey (Muhammet Mercan)

- **Inflation** (Fri): We expect monthly inflation to moderate further in June to 0.8%, resuming a downtrend in the annual figure to 31.9% from 32.6% a month ago. This would be driven by unprocessed food prices thanks to a recovery in agricultural production and favourable rainfall so far this year, while the rapid decline in oil prices is also supportive for energy inflation.

Key events in developed markets next week

THINK economic and financial analysis

Country	Time	Data/event	ING	Prev.
Monday 29 June				
Eurozone	0900	May M3 Money Supply	2.8	2.7
	1000	Jun Business Climate	0.1	-0.3
	1000	Jun Economic Sentiment	94.4	93.5
	1000	Jun Consumer Confidence Final	-	-19
Spain	0800	Jun CPI Flash NSA (MoM%/YoY%)	-/-	0.1/3.2
	0800	May Retail Sales (MoM%/YoY%)	-/-	-1.5/0.8
Tuesday 30 June				
US	1400	Apr Case-Shiller 20 (MoM%/YoY%)	-0.2/0.9	-0.2/0.8
	1445	Jun Chicago PMI	55.8	62.7
	1500	Jun Consumer Confidence	97.5	93.1
	1500	May JOLTS job openingsd (000s)	7250	7618
Germany	0700	May Retail Sales Real (MoM%/YoY%)	0.4/0.0	-0.3/-0.3
	0855	Jun Unemployment Rate	6.4	6.3
	1300	Jun CPI (MoM%/YoY%)	-/-	-0.2/2.6
France	0745	Jun CPI Prelim (MoM%/YoY%)	-/-	0.1/2.4
UK	0700	Q1 GDP Growth (QoQ%/YoY%)	-/-	0.6/1.1
	0700	Q1 Current Account GBP (GBP bn)	-	-18.4
Italy	1000	Jun CPI Prelim (MoM%/YoY%)	0.4/3.4	0.4/3.2
Canada	1330	Apr GDP (MoM%)	-	-0.1
Portugal	1100	Jun CPI Flash (MoM%/YoY%)	-/-	0.2/3.3
Wednesday 1 July				
US	1315	Jun ADP National Employment (000s)	110	122
	1500	Jun ISM Manufacturing PMI	54.2	54
	1500	Jun ISM Manufacturing Prices Paid	72	82.1
Eurozone	0900	Jun S&P Manufacturing PMI Final	51.6	51.6
	1000	Jun CPI Flash (YoY%)	3.1	3.2
	1000	Jun Core CPI Flash (YoY%)	2.6	2.6
Germany	0855	Jun S&P Global Manufacturing PMI Final	50.1	50.1
UK	0930	Jun S&P Global Manufacturing PMI Final	-	53.9
Italy	0845	Jun S&P Global Manufacturing PMI	53	52.9
Thursday 2 July				
US	1330	Initial Jobless Claims (000s)	225	215
	1330	Jun Non-Farm Payrolls (000s)	110	172
	1330	Jun Private Payrolls (000s)	115	120
	1330	Jun Unemployment Rate	4.3	4.3
	1500	May Factory Orders (MoM%)	-3.7	4.8
Eurozone	1000	May Unemployment Rate	-	6.3
Italy	0900	May Unemployment Rate	5.1	5.1
Switzerland	0730	Jun CPI (MoM%/YoY%)	-/-	0.2/0.6
Friday 3 July				
US	-	National Holiday	-	-
Eurozone	0900	Jun S&P Global Services PMI Final	-	47.7
	0900	Jun S&P Global Composite PMI Final	-	48.5
Germany	0855	Jun S&P Global Services PMI Final	48.1	48.1
	0855	Jun S&P Global Composite PMI Final	48.8	48.8
France	0745	May Industrial Output (MoM%)	-	0.1
	0850	Jun S&P Global Composite PMI	-	44.9
UK	0930	Jun S&P Global Services PMI Final	-	49.3
	0930	Jun S&P Global Composite PMI Final	-	49.7
Italy	0845	Jun S&P Global Composite PMI	-	50.4
Spain	0815	Jun S&P Global Services PMI	-	50.1

Source: Refinitiv, ING

Key events in Central and Eastern Europe next week

Country	Time (BST)	Data/event	ING	Prev.
Monday 29 June				
Turkey	1200	May Bank NPL Ratio	-	2.7
	0800	Jun Economic Confidence	-	97.2
Kazakhstan		- Q2 GDP (YoY%)	-	3
Tuesday 30 June				
Turkey	0800	May Trade Balance Final (USD bn)	-5.6	-8.5
Czech Rep	0800	Q1 Revised GDP (QoQ%/YoY%)	0.2/2.2	0.2/2.2
Hungary	0730	May Trade Balance Final (EUR mn)	-530	370
Poland	0830	June flash CPI (MoM%/YoY%)	-0.1/2.9	-0.3/3.1
Wednesday 1 July				
Russia	0700	Jun S&P Global Manufacturing PMI	-	49.8
	1700	May Retail Sales (YoY%)	5.0	6.5
	1700	May Unemployment Rate	2.2	2.2
Turkey	0800	Jun Manufacturing PMI	-	49.8
Poland	0800	Jun S&P Global Manufacturing PMI	49.7	49.4
Czech Rep	0830	Jun S&P Global Manufacturing PMI	51.8	52.2
	1300	Jun Budget Balance (CZK bn)	-154.0	-170.2
Hungary	0800	Jun Manufacturing PMI	49.9	50.2
Kazakhstan		- Jun CPI (MoM%/YoY%)	0.7/10.2	0.7/10.4
Thursday 2 July				
Russia		- May GDP (YoY%) Monthly	0.5	1.3
Turkey	1230	Gross FX Reserves (USD bn)	-	53.1
Friday 3 July				
Russia	0700	Jun S&P Global Services PMI	-	48.7
	0700	Jun S&P Global Composite PMI	-	49.2
Turkey	0800	Jun CPI (MoM%/YoY%)	0.8/31.9	1.7/32.6

Source: Refinitiv, ING

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